

September 27, 2026 10:00 PM GMT

NetEase, Inc | Asia Pacific

Something Big Is Coming

WHAT'S CHANGED

NetEase, Inc (NTES.O)	From	To
Top Pick Added	-	NTES.O

We make NetEase our Top Pick ahead of its landmark game Ananta's global launch (15 Jan 27). We think a potential global impact (vs. GTA in the gamer community) and game business' defensiveness amid weak domestic consumption both justify a re-rating for NetEase.

Key Takeaways

- We see the chance for Ananta to become a landmark title with global impact, though our grossing forecast is not aggressive due to its mild monetization strategy.
- Close launch timing and similar gameplay with GTA VI will likely amplify the hit-or-miss variance for Ananta significantly.
- NetEase's evergreen titles are doing well, easing concern on competition (Identity V and Justice) and a high base (due to FWJ Free Server).
- YTD new game hit ratio in China's game industry has been low, and the market has factored in the miss of Sea of Remnants.
- World of Warcraft: Unlimited should bring some marginal upside in 4Q26.

To be launched eight weeks after GTA VI (very high bar); where can Ananta differentiate? GTA is one of the most successful IPs in game history and GTA VI is the most anticipated game (to be launched on 19 Nov 2026). Ananta, as a brand new follower/challenger, shares a similar urban open-world game genre with GTA, but with quite a different theme, story line, graphic style and potentially more on other creative experiences. They also differ in terms of hardware platform and monetization strategy. These should lead to quite differentiated competition, in our view. Beyond China and East Asia (where anime style is popular), we see a good chance for Ananta to create a global impact with the proposition of AAA quality but free-to-play (just like *Where Winds Meet*). Eight weeks (including Christmas holiday) after GTA VI's launch means it can leverage community popularity in this genre, and most core gamers should have finished GTA VI's story mode. There could be a bit more competition between Ananta and GTA Online. **We forecast Rmb6/10/4bn annualized revenue for Ananta in our base/bull/bear cases, with overseas contributing half.** Ananta will be the core growth driver for NetEase in 2027.

We believe the potential success of Ananta will mark a milestone in its going overseas strategy, driving a re-rating for Netease stock, especially considering its PE valuation is the lowest among global leading game developers. In addition, we are getting increasingly concerned on the domestic consumption outlook, and prefer

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NetEase, Inc (NTES.O, NTES US)

Top Pick

China Internet and Other Services | China

Stock Rating	Overweight
Industry View	Attractive
Price target	US\$163.00
Up/downside to price target (%)	39
Shr price, close (Sep 24, 2026)	US\$117.56
52-Week Range	US\$156.44-106.06
Sh out, dil, curr (mn)	644
Mkt cap, curr (mn)	US\$75,747
Avg daily trading value (mn)	US\$102

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	58.02	62.31	71.26	75.37
EPS (Rmb)\$	61.12	62.19	72.04	77.98
Revenue, net (Rmb mn)	112,626	121,208	127,299	133,703
EBITDA (Rmb mn)	38,082	48,770	50,971	53,928
Net income (Rmb mn)**	37,344	39,919	45,435	47,833
P/E	18.3	13.5	11.7	11.1
P/BV	3.9	2.8	2.5	2.2
ROE (%)	24.3	23.3	23.6	21.9
EV/EBITDA	12.1	6.8	6.0	5.1
Div yld (%)	0.3	0.4	0.5	0.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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the gaming sector for defensiveness. Reiterate OW; move NetEase to Top Pick.

Investment Thesis

How do we compare to GTA?

GTA VI is set to launch globally on Nov. 19, 2026 but starting with console only while the PC version could lag by a few months and there will not be a mobile version. Ananta's global launch on Jan 15 has a chance of capturing PC players prior to GTA's launch and as a free-to-play game naturally has a lower hurdle rate for gamers to try it.

According to our US internet analyst Matthew Cost, GTA VI is forecast to sell 40mn copies by Mar 2027 (4.5 months) at a gross retail price of US\$80 per copy implying a total grossing of US\$3.2bn (before channel fees) vs our forecast of US\$880mn (Rmb6bn) first-year grossings for Ananta, 28% of GTA VI ([see report](#)).

We also compare it to Genshin Impact, which is also an Anime style open world title launched in late 2020, and was estimated to record US\$3-4bn first-year grossings, based on our estimate. However, we highlight that Genshin's core monetization is character-based Gacha system, which should mean a higher ARPU vs. Ananta, which will be cosmetic based.

Exhibit 1: Ananta vs GTA VI vs Genshin

	ANANTA	GTA VI	GENSHIN IMPACT
Developer	NetEase / Naked Rain	Rockstar Games / Take-Two Interactive	HoYoverse / miHoYo
Genre	Urban Open-World RPG	AAA Urban Open-World Action	Open-World Action RPG
Art Style	Anime / Stylized	Realistic	Anime / Stylized
Business Model	Free-to-Play + In-App Purchases	Premium Purchase + Ongoing Online / RCS	Free-to-Play + In-App Purchases
Core Monetization	Cosmetics / Customization + Battle Pass	Base Game Sales + Long-Term Online Spending	Characters + Weapons / Gacha + Battle Pass
Platforms	PC / PS5 / Mobile	PS5 / Xbox	PC / PS5 / Xbox Series X S / Mobile
Release Date	Jan 15, 2027	Nov 19, 2026	Sep 28, 2020
Target Audience	Anime, open-world, and life-sim fans + broader audiences	Global AAA core and mainstream players	Anime, open-world, RPG, and live-service players
Core Proposition	Urban life + multiple characters + RPG progression	Crime narrative + sandbox + simulation	Elemental combat + exploration + ongoing live-service content
First year grossings	US\$900mn	US\$4.2bn	US\$3-4bn
MAU/DAU		52mn copies	22mn/9mn

Source: Company data, Morgan Stanley Research. Red denotes Morgan Stanley Research estimates.

Exhibit 2: Ananta game play

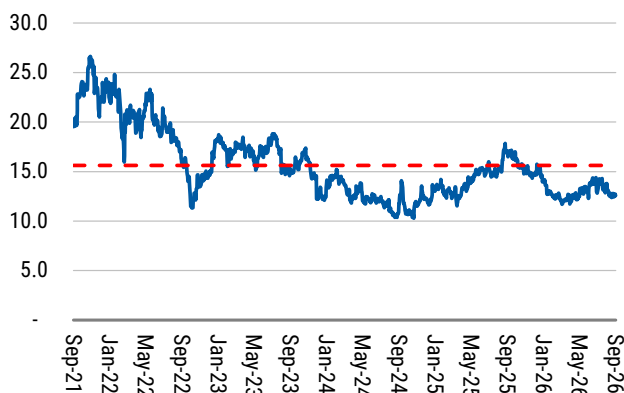
Source: Company data.

Valuation

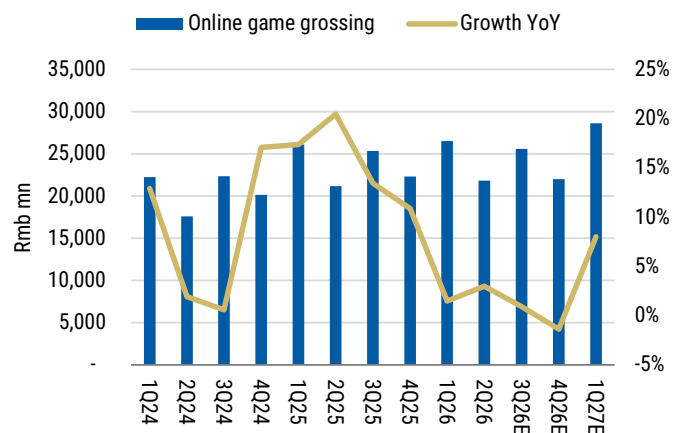
NTES is currently trading at a NTM P/E of 11x based on Visible Alpha consensus forecast; this is close to a trough multiple of 10x. We see NTES's valuation closely related to game grossing growth. If Ananta does well after launch, we see potential for the stock to re-rate towards an upcycle multiple of 15x.

Even without successful new titles, we think NTES's natural defensiveness should offer downside protection for the share price, with a strong operating income performance year to date attributed to its solid opex control and channel fee changes (game GPM ~75%), which should continue carry into 2H26E.

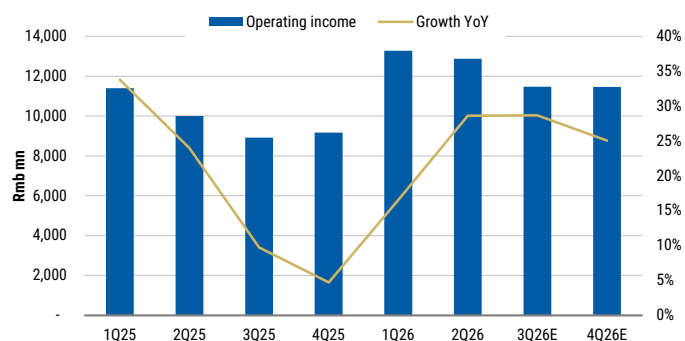
Comparing to global peers, NTES is one of the cheapest game studio with global exposure. Based on a selected list of global game companies (Exhibit 6), the average 2027E P/E is ~17x vs. NetEase only at 11x, on our estimates.

Exhibit 3: NTES NTM P/E

Source: FactSet, VisibleAlpha, Morgan Stanley Research.

Exhibit 4: NTES qtlly game grossings growth - 1Q27E inflexion driven by Ananta

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 5: Operating income growth remain strong

Source: Company data, Morgan Stanley Research estimates.

Exhibit 6:

Global game studio - NetEase has the cheapest 27E multiple among game platform companies that have global exposure.

Ticker	Name	Rating	CURR	PX	Market cap (USD mn)	P/E			EPS CAGR
						2026E	2027E	2028E	
NTES.O	NetEase	O	USD	118	73,884	12.8	11.2	10.6	9%
0700.HK	Tencent	O	HKD	434	503,536	12.7	12.6	12.5	4%
7974.T	Nintendo	E	JPY	8,105	65,659	20.8	19.2	15.1	14%
3659.T	Nexon	E	JPY	3,125	15,354	21.7	22.1	20.9	10%
9766.T	Konami	O	JPY	21,320	19,254	28.9	24.4	22.9	19%
TTWO.O	Taketwo	O	USD	203	37,953	33.8	17.1	18.8	51%
Average						21.8	17.8	16.8	18%

Source: Company data, Morgan Stanley Research estimates.

Financial Summary

Exhibit 7: NetEase Financial Summary

Income Statement (Rmb mn)	2024 Dec-24	2025E Dec-25	2026E Dec-26	2027E Dec-27
Online games	80,442	89,777	97,857	102,750
PC games	21,946	33,549	42,192	43,188
Mobile games	58,496	56,228	55,665	59,562
Youdao	5,626	5,909	6,344	7,220
Innovative businesses and others	19,228	16,940	16,827	17,090
Net revenue	105,295	112,626	121,028	127,059
Online games	(26,143)	(27,911)	(24,081)	(25,140)
Youdao	(2,877)	(3,292)	(3,477)	(3,933)
Innovative businesses and others	(10,468)	(9,021)	(9,200)	(9,408)
Cost of revenues	(39,488)	(40,224)	(36,757)	(38,481)
Gross Profit	65,807	72,402	84,270	88,579
Sales and marketing	(14,148)	(14,620)	(16,033)	(17,308)
Product development	(17,525)	(17,719)	(18,337)	(19,198)
General and administrative	(4,551)	(4,228)	(3,484)	(3,570)
Total operating expenses	(36,223)	(36,567)	(37,853)	(40,075)
Operating profit	29,584	35,835	46,417	48,503
Interest income	4,921	3,953	3,690	4,104
FX gain/(loss)	255	(776)	(1,059)	-
Disposal gain/(loss)	-	-	-	-
Other income/(expenses)	957	1,818	(1,200)	1,800
Profit before tax	35,718	40,830	47,849	54,407
Income taxes	(5,461)	(6,033)	(9,798)	(10,844)
Profit after tax	30,256	34,798	38,051	43,563
Non-controlling interest	(555)	(1,034)	(724)	(724)
Deemed dividends repurchase NCI	(4)	(4)	(4)	(4)
Net profit	29,698	33,760	37,323	42,835
Balance sheet (Rmb mn)				
Cash and cash equivalents	51,383	47,168	55,356	71,355
Short term investments	10,756	22,804	23,827	24,850
Term Deposit	75,441	92,639	99,514	106,388
Restricted Cash	3,086	4,319	4,319	4,319
Accounts receivable, net	5,669	5,338	5,736	6,022
Others	6,988	8,348	6,778	6,235
Current assets	153,325	180,615	195,530	219,169
Fixed assets, net	8,520	8,425	8,993	9,561
Time Deposit	3,025	2,995	2,995	2,995
Others	31,122	29,379	33,124	36,828
Total Assets	195,992	221,415	240,642	268,554
Deferred revenue	15,299	20,515	17,178	18,027
Short-Term Bank Loans	11,805	6,384	6,384	6,384
Accrued liabilities	19,084	20,953	21,690	22,963
Others	3,480	4,517	4,462	4,489
Current liabilities	49,668	52,369	49,714	51,864
Non-current liabilities	3,830	3,942	3,942	3,942
Total Liability	53,497	56,311	53,656	55,806
Additional paid-in capital	9,861	9,837	12,500	15,168
Retained earnings	130,333	149,755	168,247	190,612
Other reserves	(1,424)	795	795	795
Non-controlling interests	3,724	4,717	5,444	6,172
Total equity	142,494	165,104	186,986	212,748
Total liability & equity	195,992	221,415	240,642	268,554
Net cash	131,887	163,541	179,626	203,523
Margin analysis				
GAAP				
Gross margin	62.5%	64.3%	69.6%	69.7%
Online games	67.5%	68.9%	75.4%	75.5%
Youdao	48.9%	44.3%	45.2%	45.5%
Innovative businesses and others	45.6%	46.7%	45.3%	45.0%
Operating margin	28.1%	31.8%	38.4%	38.2%
Net margin	28.2%	30.0%	30.8%	33.7%
EBITDA	32,002	38,082	48,777	50,981
EBITDA margin	30.4%	33.8%	40.3%	40.1%
Basic EPADS (Rmb)	46.4	53.0	58.8	67.9
Diluted EPADS (Rmb)	45.96	52.45	58.26	67.18
Non-GAAP				
S&M as % of revenue	13.3%	12.9%	13.2%	13.5%
R&D as % of revenue	15.2%	14.3%	14.2%	14.2%
G&A as % of revenue	3.3%	2.9%	2.3%	2.3%
EBITDA	35,885	41,730	51,440	53,649
EBITDA margin	34.1%	37.1%	42.5%	42.2%
Gross profit	66,993	73,406	85,004	89,314
Gross margin	63.6%	65.2%	70.2%	70.3%
Operating profit	33,467	39,483	49,080	51,172
Operating margin	31.8%	35.1%	40.6%	40.3%
Net income	33,511	37,344	39,921	45,439
Net margin	31.8%	33.2%	33.0%	35.8%
Basic EPADS (Rmb)	52.35	58.60	62.94	71.98
Diluted EPADS (Rmb)	51.86	58.02	62.32	71.26
Diluted EPADS (US\$)	7.28	8.03	8.97	10.56
Key drivers				
Revenue growth	2%	7%	7%	5%
Online games growth	6%	12%	9%	5%
PC games	17%	53%	26%	2%
Mobile games	3%	-4%	-1%	7%
Innovative businesses and others	-14%	-12%	-1%	2%
SBC as % of revenue	3.7%	3.2%	2.2%	2.1%
Effective tax rate	15.3%	14.8%	20.5%	19.9%
Domestic game revenue	73,311	79,146	84,226	86,119
Overseas game revenue	7,131	10,631	13,631	16,631
Cash flow statement				
Operating cash flows	39,677	50,740	41,589	51,117
Non-cash and other adjustments	5,769	7,221	5,022	5,146
Change in working capital	3,652	8,721	(1,484)	2,408
Profit after tax	30,256	34,798	38,051	43,563
Investing cash flows	17,916	(33,181)	(14,570)	(14,648)
Change in deposits	(408)	(6,874)	(6,874)	(6,874)
Change in investments	(2,559)	(1,023)	(1,023)	(1,023)
Invest in associated companies	(1,103)	(4,546)	(4,546)	(4,546)
PPE and intangible assets	(2,192)	(2,007)	(2,127)	(2,205)
Others	24,178	(18,732)	-	-
Financing cash flows	(27,336)	(20,160)	(18,831)	(20,470)
Dividends	(11,165)	(13,826)	(14,661)	(16,420)
Others	(16,170)	(6,334)	(4,170)	(4,050)
FX change	11	(382)	-	-
Net change in cash balance	30,268	(2,984)	8,188	15,999
Cash at beginning of period	24,205	54,474	51,490	59,678
Cash at end of period	54,474	51,490	59,678	75,677

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – NetEase, Inc (NTES.O) Top Pick

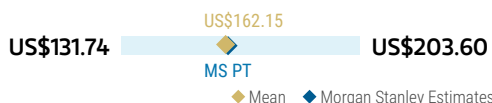
Growth turning around with better margin outlook; OW

PRICE TARGET US\$163.00

Base case, sum of the parts.

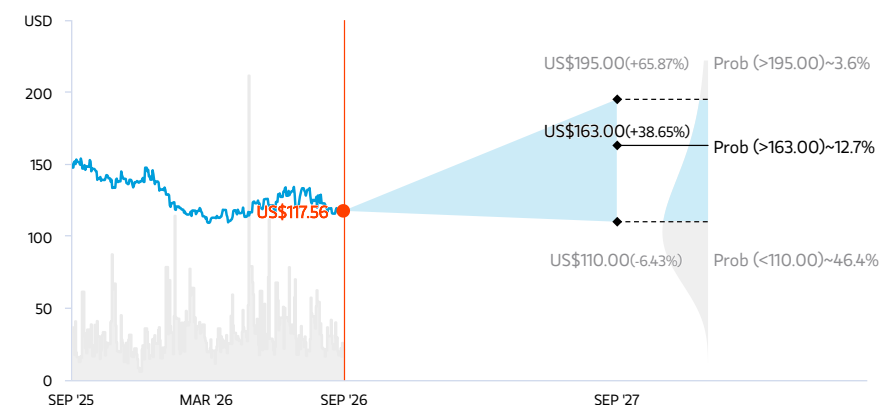
- Games - 15x 2026e P/E compared to US/EU publishers at 15-30x. Reflects slower growth and limited overseas exposure.
- Music - Latest market cap adjusted for NetEase's stake of 61.35%.
- Youdao - Latest market cap adjusted for NetEase's stake of 53%.
- Net cash at 30% discount
- USD/CNY assumption of 6.75.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



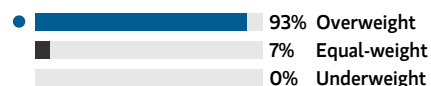
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 24 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- NetEase has been gaining market share via its best-in-class development capabilities. It is expanding globally via self-established studios, partnering with industry veterans.
- Strong FWJ free server and Where Winds Meet international grossings should help offset a high grossings base in the next two quarters despite limited new title releases.
- We stay OW on NTES with solid revenue from evergreen titles and potential upside coming from new releases.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Positive*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$195.00

18x 2026e bull case game P/E

Stronger-than-expected growth driven by diversification and global expansion: We assume a game revenue CAGR of 12% over 2024-26. Non-GAAP operating margin is 0.8ppt above our base case in 2026.

BASE CASE

US\$163.00

15x 2026e base case game P/E

Sustained growth in gaming revenue: Game revenue CAGR of 10% over 2024-26. Non-GAAP operating margin of 40.5% in 2026.

BEAR CASE

US\$110.00

10x 2026e bear case game P/E

Gaming revenue growth is capped by competition while loss-making businesses erode margins: Game revenue CAGR of 8% over 2024-26. Non-GAAP operating margin 3.8ppt below our base case in 2026.

Risk Reward – NetEase, Inc (NTES.O)

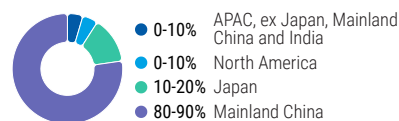
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Mobile game revenue (Rmb, mn)	56,228	55,665	59,562	63,314
PC game revenue (Rmb, mn)	33,549	42,192	43,188	44,489
Innovative business and others (Rmb, mn)	9,180	8,835	8,539	8,284

INVESTMENT DRIVERS

- Diversification and global expansion
- Game revenue growth
- Margin expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected performance of existing and/or new game titles
- Faster-than-expected overseas expansion

RISKS TO DOWNSIDE

- Shorter-than-expected life cycle of games
- Weaker-than-expected margin, with a drag from loss-making businesses

OWNERSHIP POSITIONING

Inst. Owners, % Active	84.3%	
HF Sector Long/Short Ratio	2.2x	
HF Sector Net Exposure	9.9%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)	112,759.8	121,208.4 120,820.7	124,871.4
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EBIT (Rmb, mn)	43,483.2	46,411 46,583.8	48,863.0
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Net income (Rmb, mn)	36,265.9	39,919 39,931.2	42,409.8
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EPS (Rmb)	57.3	62.3 62.2	65.0
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◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

NetEase, Inc (NTES.O) - As of 09/25/26 GMT in USD
Industry : China Internet and Other Services



Stock Rating History: 9/1/21 : O/A; 9/20/21 : O/I; 5/23/24 : E/I; 1/8/25 : O/I; 2/24/25 : O/A

Price Target History: 2/26/21 : 150; 9/1/21 : 130; 9/20/21 : 120; 11/1/21 : 140; 3/21/22 : 130; 7/14/22 : 125; 8/15/22 : 110; 10/18/22 : 95; 11/8/22 : 85; 12/14/22 : 95; 1/16/23 : 105; 1/17/23 : 107; 4/18/23 : 115; 5/26/23 : 120; 7/17/23 : 130; 8/25/23 : 135; 10/18/23 : 150; 4/2/24 : 135; 4/12/24 : 120; 5/23/24 : 100; 8/8/24 : 90; 8/23/24 : 85; 10/21/24 : 83; 11/18/24 : 90; 1/8/25 : 108; 2/12/25 : 117; 5/16/25 : 138; 6/9/25 : 145; 7/22/25 : 151; 10/8/25 : 170; 11/24/25 : 166; 12/22/25 : 168; 2/23/26 : 154; 5/27/26 : 158; 8/21/26 : 163

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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Autohome Inc (ATHM.N)	E (02/09/2023)	US\$21.30
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.16
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$26.75
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$14.22
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$16.69
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$78.20
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$12.37
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$110.63
Baidu Inc (BIDU.O)	U (08/19/2026)	US\$88.08
Meituan (3690.HK)	O (08/29/2024)	HK\$71.65
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$436.60
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.33
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.04
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$79.70
Weibo Corp (WB.O)	U (05/17/2024)	US\$6.53
Yang Liu		
Bilibili Inc (BILI.O)	++	US\$14.81
Kuaishou Technology (1024.HK)	E (08/20/2026)	HK\$30.02
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$117.56

Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$10.20
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$40.04

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